performance of the business and analysing the accounting information for decision making purposes. This activity helps the company to start new product production or modify the existing product.

- **Data Reporting**

  Data Reporting consists of two parts namely external and internal reporting. External reporting is the communication of financial information to the outside portion. Eg. : Shareholders and government agencies. Internal reporting is concerned with the communication of results of financial analysis to the management for decision making purposes.

- **Accounting**

  The accounting system has two stages namely book-keeping and accounting. Book Keeping is a process of maintaining routine records in prescribed form and according to set rules, of all events which affect the financial state of the organisation. Accounting is the summarisation from time to time of the information contained in the records, its presentation in a significant form to interested parties, and its interpretation as an aid to decision making by these parties.

  Accounting is carried out in four steps or stages namely recording the transactions, classifying the transactions, summarizing the transactions and interpreting the transactions.

❖ **Recording the Transactions**

All business transactions are first recorded in the book of original entry with the help of cash memos, cash receipts and invoices. This book is known as "The Journal". All the business transactions are entered in a chronological order. Books of primary entry are Journal and subsidiary books and books of final entry is the "ledger".

Table 13.1 Proforma of a Journal

Date Column	Particulars	Ledger Folio	Debit	Credit
Date of Transaction	Entry with narration	Posting Reference	Amount debited	Amount credited

❖ **Classifying the Transactions**

Transactions of similar native are grouped together and posted into another book called "The Ledger". The purpose of classifying the transactions of similar nature is to understand their combined effect. For this purpose all such ledger accounts are balanced for a particular period of time.

Table 13.2 Proforma of Ledger Account

Debit				Credit			
Date	**Particular**	**J.F.**	**Amount**	**Date**	**Particular**	**J.F.**	**Amount**
Date of transaction	To Name of the Account	Posting Reference Number		Date of the Transaction	By Name of Account	Posting Reference	
Beginning of the Month / Year	To Balance b/d			End of the Month / Year	By Balance c/ d		

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